

complaint

Mrs I has complained about the decision by Fairmead Insurance Limited (formerly known as Legal & General Insurance Limited) to decline a claim under her home insurance policy for damage caused by an escape of water.

background

In December 2018, Mrs I suffered an escape of water at her property. Her home emergency insurer arranged for a plumber to repair the leak which was under her bath. Fairmead then provided a cash settlement to enable Mrs I to arrange a repair of the damage which the escape of water had caused. Mrs I and her family moved out of the property while these repairs were carried out.

In March 2019, the repairs were completed and Mrs I and her family were able to move back in to the property.

On 15 March 2019, Mrs I said she was running a bath when water started entering the kitchen below. She rang Fairmead and she says that it authorised her to remove the bath to find and fix the source of the leak. Mrs I arranged for a plumber to do this.

Mrs I subsequently made a claim to Fairmead for damage caused by the escape of water. She said it had occurred because the home emergency insurer's plumber had damaged her bath. She said the escape of water had damaged joists in the bathroom which consequently needed to be replaced. She provided a quote she'd obtained for all the necessary repair work which came to £15,000 though she later provided a quote for the reduced amount of £9,300.

Fairmead arranged for its loss adjuster to visit the property. He attended approximately three weeks after the escape of water was supposed to have occurred. He couldn't find any evidence of water damage and noted the joists in the bathroom were hidden below the floorboards. He noted the bath had already been removed and some tiles had been damaged in the process. He said the bath wasn't available for inspection. He concluded there was no evidence of insured damage. On this basis, Fairmead declined the claim.

Mrs I complained to Fairmead about its decision.

Fairmead issued a final response letter not upholding her complaint. It said that in the absence of any evidence of damage caused by an escape of water, there was no cover to be provided under this section of the policy. It said, however, that if Mrs I could provide further evidence of the damage to the bath (she had previously provided one photograph), it would consider providing cover for this under the accidental damage section of the policy.

Mrs I was unhappy at Fairmead's response. She referred her complaint to us. She also provided further photographs of the damage to the bath.

While the complaint was under investigation, Fairmead agreed to offer £2,000 in settlement of the claim for accidental damage to the bath.

Our investigator recommended that the complaint should not be upheld. In her view, Fairmead had acted fairly in declining the claim for damage caused by an escape of water.

She was also satisfied that it had made a fair offer in settlement of the claim for the accidental damage to the bath.

Mrs I didn't accept the investigator's findings. She said the bath was still available for the loss adjuster to inspect when he visited and that watermarks were still visible on her kitchen ceiling. She furthermore said that the loss adjuster had agreed that there was a problem with the joists.

In view of the continued disagreement, the matter has been passed to me for a decision.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. Having done so, I don't uphold this complaint. I shall explain why.

When Mrs I rang Fairmead, its adviser acknowledged that Mrs I might need to remove the bath to fix the leak though he stopped short of promising that cover would definitely be provided.

After visiting the property, the loss adjuster said that Mrs I told him she'd already repaired the damage to the kitchen ceiling. Mrs I says that she hadn't carried out this repair. While I can't explain the loss adjuster's misunderstanding, his comment suggests that he could see no damage to that area. In the absence of evidence to the contrary, I consider it reasonable for Fairmead to conclude there was nothing that needed repair in the kitchen.

The loss adjuster also said that although Mrs I claimed the bathroom joists needed replacing, these were out of sight beneath the floorboards and there was no evidence of water damage to the floorboards. On this basis, the loss adjuster couldn't agree that there was evidence of water damage to the joists. Mrs I has claimed the loss adjuster said something different at the time of his visit. Again, I can't explain why the two parties have a different recollection of what was said. I acknowledge that the joists could potentially have been damaged by the original escape of water claimed for in December 2018, depending on how long that had been ongoing before it was discovered. However, in the absence of any evidence to show the joists are indeed water-damaged, I consider it was reasonable for Fairmead to say that these didn't need repair.

The only damage that the loss adjuster identified was that caused by the removal of the bath. Fairmead has since said it accepts that the bath may have been accidentally damaged by the home emergency insurer's plumber. It has offered £2,000 to cover the cost of replacement of the bath. This includes the cost of fitting and the replacement of tilework around the bath. I consider this is fair.

As I consider that Fairmead has made a fair offer in settlement of the accidental damage to the bath, and that there is no evidence of damage to the property caused by an escape of water, I consider that Fairmead has fulfilled its liability under the policy.

my final decision

For the reasons given above, my final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs I to accept or reject my decision before 10 July 2020.

David Poley
ombudsman